

Order Blocks

Bullish

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TVC:DX1, 1D 95.10 ▲ +0.08 (+0.09%) O:94.97 H:95.30 L:94.92 C:95.10

Order Blocks.

To visually identify an Order Block we study up or down candles that precede a significant move in the opposite direction breaking market structure taking out previous highs or lows.

The reason behind this is that Smart money buys into down candles, and sell into up candles. These areas have a high probability when price pulls back to these areas.

Order blocks can be identified on all timeframes, you can also zoom in and refine your entry by identifying lower timeframe order blocks within the higher timeframe Order blocks.

1. Price formed a higher low, following a previous Order block.
2. Price rallies away breaking the previous high, showing a shift in market structure. We then mark the Down candle prior to the Significant move up.
3. We await price to return/ pull back to our Order block, which is when we buy placing our stoploss below the Orderblock/ Swing low. Targetting previous highs.

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Bearish

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TVC:DX1, 1D 95.08 ▲ +0.06 (+0.07%) O:94.97 H:95.30 L:94.92 C:95.08

Order Blocks.

To visually identify an Order Block we study up or down candles that precede a significant move in the opposite direction breaking market structure taking out previous highs or lows.

The reason behind this is that Smart money buys into down candles, and sell into up candles. These areas have a high probability when price pulls back to these areas.

Order blocks can be identified on all timeframes, you can also zoom in and refine your entry by identifying lower timeframe order blocks within the higher timeframe Order blocks.

1. Price formed a high.
2. Price rallies away breaking the previous lows, showing a shift in market structure. We then mark the Up candle prior to the Significant move down.
3. We await price to return/ pull back to our Order block, which is when we sell placing our stoploss above the Orderblock/ Swing low. Targetting previous lows.

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